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Buying Property Through Your SMSF — Pros, Cons & What to Do

Victoria state notes included. Core rules are federal — read this before you do anything else.

Correct as at July 2026. General information only — this is NOT financial, legal, tax or superannuation advice, and nothing here should be read as a recommendation to acquire any specific financial product. SMSF property is a complex, high-stakes decision. Engage a licensed SMSF specialist adviser, an SMSF auditor, and a solicitor before proceeding.

⚠ Read This First: The Rules Are Changing on 10 August 2026

- [ ] **Understand new residential LRBAs are being banned.** On 23 June 2026, the Government struck a deal with the Greens to pass the Treasury Laws Amendment (Tax Reform No. 1) Bill 2026. As part of that deal, **Limited Recourse Borrowing Arrangements (LRBAs) entered into on or after 10 August 2026 can only be used to acquire *business real property*** — not residential property. If you're reading this after that date and hoping to borrow inside your SMSF to buy a residential investment property, **that door is now closed.**
- [ ] **Know what still works after 10 August 2026.** You can still: buy residential property **outright with existing fund cash** (no borrowing at all), or use an LRBA to buy **business real property** (commercial premises wholly and exclusively used in a business — including, in some structures, your own business premises).
- [ ] **Check whether you can still get in under the old rules.** If your SMSF **exchanges a binding contract before 10 August 2026** for a residential property, the new restriction generally doesn't apply even if finance is approved and settlement happens later — but this is a narrow, date-sensitive exception. Get this confirmed in writing by your SMSF specialist immediately if you're mid-transaction.
- [ ] **Don't rely on anything you've read elsewhere that predates June 2026.** A huge amount of "how to buy property with your SMSF" content online was written before this change and is now out of date on the single most important structural point.

Section 1 — How SMSF Property Investment Actually Works

- [ ] **Understand the two ways your SMSF can hold property.** (1) **Outright purchase** using existing fund balance — no debt, no bare trust needed. (2) **Limited Recourse Borrowing Arrangement (LRBA)** — the fund borrows to buy a single asset, which is held in a separate **bare (holding) trust** until the loan is repaid, and the lender's recourse on default is limited to that one asset (your fund's other assets are protected).
- [ ] **Know the "single acquirable asset" rule.** An LRBA can only be used to buy one asset (or a collection of identical assets, like shares in one company) — you can't use one loan/trust structure to progressively acquire multiple different properties.
- [ ] **Understand typical LRBA lending terms**, where still available (business real property only, post-10 August 2026): interest rates around 6.6–7.9%, loan-to-value ratios commonly capped near 70% — meaning you generally need a 30%+ deposit from fund cash, well above standard investment lending.

Section 2 — The Pros

- [ ] **Concessional tax environment.** Rental income and capital gains inside an SMSF are taxed at a maximum of **15%** in accumulation phase — and can drop to **0%** on income and gains once the fund (or the relevant member's portion) moves into pension phase. This is a meaningfully lower rate than most individuals' marginal tax rate on investment income.
- [ ] **Forced diversification discipline.** Property held in super is quarantined from your personal spending and other debts — some investors value this as a structural commitment device for long-term wealth building.
- [ ] **Asset protection.** Superannuation assets generally sit outside your personal estate for creditor purposes in most circumstances (subject to specific exceptions), offering a layer of protection that direct personal ownership doesn't.
- [ ] **Consolidates retirement savings into a tangible, familiar asset class** — appealing to investors who understand property better than shares or managed funds and want direct control over the investment decision.

Section 3 — The Cons (Read This Section as Carefully as the Pros)

- [ ] **Residential LRBA borrowing is now closed to new deals (from 10 August 2026).** This is the single biggest change to the cost-benefit calculation — for most people, the appeal of SMSF property was using superannuation leverage to buy a residential investment; that specific strategy is now unavailable for new arrangements.
- [ ] **High setup and ongoing costs.** Establishing a bare trust, SMSF-specific legal documentation, and specialist lending arrangements typically costs several thousand dollars upfront, on top of standard SMSF administration, accounting, and annual audit fees — these costs exist whether or not the investment performs well.
- [ ] **You cannot live in it, and neither can family.** A residential property bought through your SMSF **cannot be rented to you, your relatives, or other related parties** — not at any price, not even at "market rent." Doing so breaches the in-house asset rules and the sole purpose test, and can trigger fund disqualification.
- [ ] **Liquidity risk.** Property is illiquid. If your fund needs to pay a member's pension, death benefit, or meet another obligation, an SMSF holding a large, undiversified property position can struggle to raise cash without selling the property itself.
- [ ] **Concentration risk.** A single property can represent a very large proportion of a smaller SMSF's total assets, breaching sensible diversification even where no specific rule is broken.
- [ ] **Division 296 tax now applies from 1 July 2026 for large balances.** If a member's Total Superannuation Balance exceeds $3 million, an additional **15%** tax applies to the portion of earnings attributable to the balance between $3–10 million (30% total), and an additional tax applies above $10 million (40% total on that portion) — both thresholds are indexed. The final legislation taxes **realised** earnings, not unrealised gains, but valuation and liquidity planning still matter more than ever if your fund is approaching these thresholds, since illiquid property can't easily be partially sold to fund a tax bill.
- [ ] **You cannot use borrowed funds to improve the property while a loan exists.** Repairs and maintenance are fine; funding a genuine improvement (e.g., an extension) with borrowed money is not permitted under an LRBA — professional advice is essential on the repair-vs-improvement line, since getting it wrong is a compliance breach.

- [ ] **Complex, ongoing compliance burden.** Annual independent audits, market valuations, related-party scrutiny, and sole purpose test compliance apply for the life of the investment — this isn't a "set and forget" purchase.

Section 4 — Things to Do Before You Proceed

- [ ] **Get advice from a licensed SMSF specialist adviser first**, not last. SMSF property advice requires specific Australian Financial Services Licence (AFSL) authorisation — check your adviser genuinely holds this, not just general accounting qualifications.
- [ ] **Confirm the sole purpose test is genuinely met.** The property must be held solely to provide retirement benefits — no personal or family use, no collateral benefit to any member, ever, at any point in the investment's life.
- [ ] **Check your fund's investment strategy explicitly allows this.** Trustees are required to document and follow a written investment strategy — property (and any borrowing) needs to be consistent with it, not bolted on afterward.
- [ ] **Understand related-party purchase restrictions.** Your SMSF generally **cannot buy residential property from a member, their relatives, or related entities** — full stop. Commercial (business real property) can be purchased from a related party, but only at genuine arm's-length market value.
- [ ] **If pursuing an LRBA for business real property, set up the bare trust correctly before exchanging contracts** — this needs to be in place before the transaction, not arranged retrospectively.
- [ ] **Arrange SMSF-specific finance early**, given tighter LVRs (around 70%) and different serviceability assessments compared to standard investment lending — start this conversation well before you've found a property.
- [ ] **Budget for annual independent audit and market valuation requirements** — every SMSF must be audited annually by an auditor independent of the fund and its members, and property values need to be supportable with genuine evidence, not guesswork.
- [ ] **Get landlord insurance and standard building insurance** in the SMSF trustee's name, structured correctly for the fund/bare trust arrangement.
- [ ] **Model your fund's liquidity** before committing — can the fund still pay member benefits, pensions, and expenses if a large chunk of assets is tied up in one illiquid property?
- [ ] **If your total superannuation balance is approaching $3 million, get specific Division 296 advice** before proceeding — including whether the one-off cost-base reset election (available for assets held before 1 July 2026, opted in at the fund level via the 2026–27 annual return) is relevant to your fund.

Section 5 — Victoria-Specific Considerations

- [ ] **Check Victoria's land tax settings for SMSF-held property.** Victoria's general land tax threshold is **$50,000** — and because SMSF property is typically held via a bare trust (for LRBAs) or directly by the corporate trustee, **trust land tax rules and surcharges can apply differently** to individual ownership. Get this checked specifically for your fund's structure, not assumed from general owner-occupier or individual-investor figures.
- [ ] **Check the Absentee Owner Surcharge (4%)** if any fund member or beneficiary could be considered an absentee owner — this needs specific advice given the SMSF ownership structure sits between "individual" and "company/trust" in how it's assessed.
- [ ] **Standard Victorian transfer duty applies to SMSF property purchases** — there's no first-home-buyer-style concession available to a superannuation fund, since the fund isn't a natural person. See the separate Property Investment Purchase Checklist (Victoria) in this series for the general investor stamp duty and land tax framework, which your SMSF purchase sits on top of.
- [ ] **Engage a Victorian conveyancer or solicitor experienced specifically with SMSF/bare trust transactions** — the contract needs to correctly name the trustee structure, which is a common error point in SMSF property purchases.

Quick Reference — SMSF Property Snapshot (July 2026)

ITEM	DETAIL
New residential LRBAs	**Banned from 10 August 2026** — business real property only from this date
Existing LRBAs (pre-10 Aug 2026)	Not banned, can continue/be maintained
Max tax rate (accumulation phase)	15% on income and capital gains
Max tax rate (pension phase)	0%
Typical LRBA deposit required	30%+ (LVR capped near 70%, where still available)
Division 296 threshold	$3 million Total Super Balance (indexed), effective 1 July 2026
Related party residential lease	**Never permitted**, at any price
Related party purchase (residential)	**Not permitted** from a member/relative
Related party purchase (commercial)	Permitted at genuine arm's-length market value